

Promoting Entrepreneurship and New Ventures

Chapter 12 — Corporate Venturing

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Learning Objectives

By the end of this chapter, you will be able to:

- **Define** entrepreneurship and intrapreneurship (corporate entrepreneurship).
- **Analyze** the stages of venture development.
- **Evaluate** different structural options for new ventures (Internal vs. External).
- **Understand** the strategic role of Corporate Venture Capital (CVC).
- **Identify** the tensions between the "mainstream" business and the "new stream" venture.

What is Entrepreneurship?

It is not just about starting a small business. It is a process.

Definition

Entrepreneurship is the process of discovery, evaluation, and exploitation of opportunities.

Two Contexts:

1. **Independent Entrepreneurship:** Creating a new firm from scratch (Start-up).
2. **Corporate Entrepreneurship (Intrapreneurship):** Renewing an existing organization through innovation and venturing.

Why do Established Firms Need Ventures?

Large firms are optimized for *efficiency* in existing markets, not for creating *new* ones.

The Dilemma

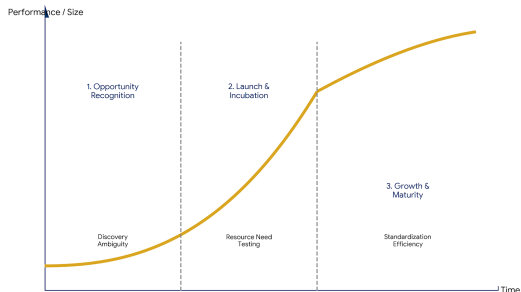
As firms grow, they become bureaucratic and risk-averse. To survive, they must reignite the entrepreneurial spirit.

Objectives of Corporate Venturing:

- To exploit under-utilized assets/technology.
- To explore new markets (diversification).
- To defend against disruptive startups.

The Venture Life Cycle

New ventures go through predictable stages, each requiring different management styles.



Structuring the Venture

Where should the new venture live?

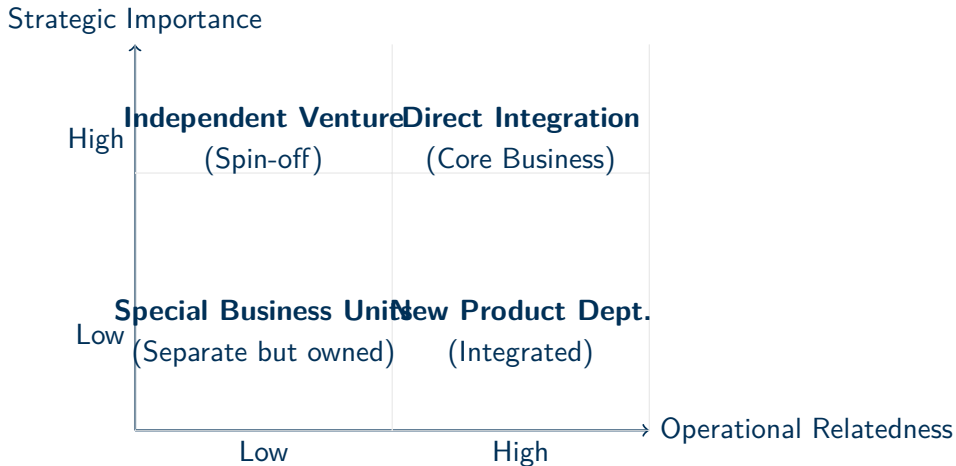
The Core Question

How closely should the new venture be linked to the main organization?

Factors Influencing Structure:

- **Strategic Importance:** Is this core to our future strategy?
- **Operational Relatedness:** Does it need our existing factories/sales channels?

Structural Options Matrix



Based on

Burgelman's Framework.

Internal Corporate Venturing (ICV)

Developing new businesses *inside* the firm.

- **Advantages:**

- Access to corporate resources (Brand, Cash, R&D).
- Security for employees (they don't lose their jobs if it fails).

- **Disadvantages:**

- Bureaucracy ("Corporate Immune System" attacks the new idea).
- Lack of speed.
- Misaligned incentives (Salary vs. Equity).

External Venturing: Spin-offs

Separating the new business into an independent entity.

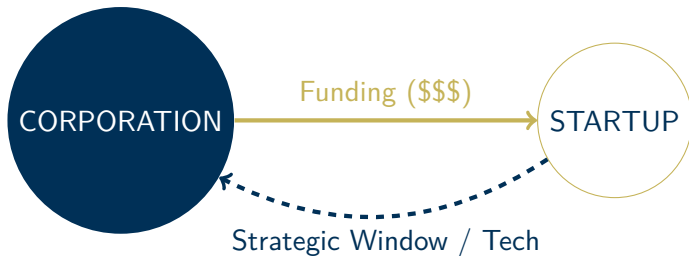
When to Spin-off?

- When the venture does not fit the core business.
- When it needs a different culture to survive.
- When it needs to raise external capital.

Example: HP spinning off Agilent; eBay spinning off PayPal.

Corporate Venture Capital (CVC)

Investing in external startups rather than building them.



Goals of CVC:

- **Financial:** Return on investment (like a VC).
- **Strategic:** Window on new technology; potential for future acquisition.

The Ambidexterity Challenge

Corporate entrepreneurship requires "Organizational Ambidexterity."

Exploitation (Mainstream)

- Discipline
- Efficiency
- Short-term goals
- *Structure: Hierarchy*

Exploration (New Stream)

- Agility
- Experimentation
- Long-term vision
- *Structure: Flat/Network*

The Challenge: Managing both simultaneously without one killing the other.

Summary:

1. Entrepreneurship is not limited to startups; established firms need it to survive (Intrapreneurship).
2. Ventures pass through distinct stages: **Discovery, Incubation, Acceleration.**
3. Choosing the right structure is critical: **Integrated** vs. **Autonomous.**
4. **Ambidextrous Leadership** is required to balance the needs of the core business with the needs of the new venture.

Thank You

Questions?